

CBSE Class 12 Accountancy

Mock Test: Accounting for Share Capital

Instructions:

- Total Marks: 50 | Time Allowed: 1 Hour
- Section A: 10 MCQs (1 mark each)
- Section B: Short Answer Questions (10 marks total)
- Section C: Long Answer Questions (10 marks total)
- Section D: Practical Problems (20 marks total)

Section A: Multiple Choice Questions

- 1. Authorized capital is the:** [1]
a) Max capital a company can issue | b) Actually issued | c) Paid by shareholders | d) Subscribed
- 2. Shares issued at a price higher than face value are called:** [1]
a) At par | b) At premium | c) At discount | d) Bonus shares
- 3. When shares are forfeited, the amount already paid is transferred to:** [1]
a) Share Capital A/c | b) Forfeited Shares A/c | c) Calls in Arrears A/c | d) Share Premium A/c
- 4. Bonus shares are issued from:** [1]
a) Share Capital A/c | b) Reserves and Surplus | c) Share Premium A/c | d) P&L A/c
- 5. Calls in advance are treated as:** [1]
a) Liability | b) Asset | c) Revenue | d) Expense
- 6. On reissue of forfeited shares, the Forfeited Shares Account is:** [1]
a) Credited | b) Debited face value | c) Closed by transfer to Capital Reserve | d) Transferred to Share Cap
- 7. The minimum amount to be paid on application for shares is:** [1]
a) Full face value | b) 25% of face value | c) As per company rules | d) Nil
- 8. Over-subscription of shares occurs when:** [1]
a) Applications exceed issued | b) App less than issued | c) App equal issued | d) No app received

9. Rights issue is offered to:

[1]

a) Existing shareholders | b) Public | c) Employees | d) Directors

10. Share premium can be used for:

[1]

a) Paying dividends | b) Writing off preliminary expenses | c) Buying assets | d) Distributing profits

Section B: Short Answer Questions

11. Define authorized capital and distinguish it from paid-up capital.

[3]

12. Explain 'calls in arrears' and its treatment in books.

[3]

13. What are bonus shares? State conditions for issue.

[2]

14. Differentiate between forfeiture and reissue of shares.

[2]

Section C: Long Answer Questions

15. Accounting treatment for issue of shares at premium (+ Journal entries).

[5]

16. Explain process of forfeiture and reissue with examples.

[5]

Section D: Practical Problems

17. Issue with Premium & Pro-rata

[5]

A company issued 10,000 shares of Rs. 10 each at a premium of Rs. 5. Applications for 12,000 received. Excess refunded. Allotment money Rs. 5 (incl. Rs. 2 premium) called. Pass journal entries.

18. Forfeiture & Reissue

[15]

XYZ Ltd Extract: 50,000 shares of Rs. 10 each, Rs. 5 called up. Calls in Arrears: Rs. 10,000. Share Premium: Rs. 50,000.

5,000 shares are forfeited for non-payment of final call of Rs. 3. These 5,000 shares are reissued at Rs. 8 per share fully paid up. Prepare journal entries.

Solutions & Answers

Section A: MCQs

1(a), 2(b), 3(b), 4(b), 5(a), 6(c), 7(c), 8(a), 9(a), 10(b)

Section D: Numerical Hints

Q17: Bank Dr 1,20,000; Refund 20,000; Allotment Due Rs. 50,000 (30k Cap, 20k Premium).

Q18: Forfeiture: Share Cap Dr 50,000; To Forfeited Shares 35,000; To Calls in Arrears 15,000.

Reissue: Bank Dr 40,000; Forfeited Shares Dr 10,000; To Share Cap 50,000.

Capital Reserve = 35,000 - 10,000 = Rs. 25,000.